

CASE STUDY #9 — TELECOM

Stalled Prepaid-to-Postpaid Migration

Introduction

The client, a pan-India telecom operator, derives 92% of its subscriber base from prepaid, well above the industry's postpaid mix. Postpaid customers carry roughly 3x the ARPU and are stickier, so management launched a campaign to migrate high-usage prepaid customers to postpaid plans.

Background

After six months, migration volumes are less than 15% of target, despite eligible customers being offered a free trial month and a discounted postpaid tariff. Management wants a root-cause diagnosis of why migration is stalling.

Approach: Step-by-Step Diagnostic Walkthrough

- **Step 1 — Define the Funnel:** break the migration journey into Eligible → Offered → Interested → Enrolled, and measure drop-off at each stage rather than looking only at the final conversion number.
- **Step 2 — Locate the Drop-Off:** 78% of eligible customers were offered the plan and 61% expressed interest, but only 16% of interested customers actually enrolled — the funnel breaks late, at enrollment.
- **Step 3 — Investigate the Enrollment Stage:** postpaid enrollment requires in-store KYC re-verification and a security deposit, while prepaid customers are used to instant, app-based top-ups with zero paperwork.
- **Step 4 — Segment the Drop-Off:** drop-off is heavily concentrated among customers in tier-2/3 cities, where the nearest company-owned store averages 9 km away, versus tier-1 cities where drop-off is far lower.
- **Step 5 — Identify the Root Cause:** the migration offer is well-targeted and well-received, but the in-store KYC enrollment channel imposes a physical-access cost that a purely digital prepaid customer base is not willing to absorb.

Root Cause and Recommended Actions

- **Root Cause:** enrollment requires physical store visits for KYC re-verification, creating an access barrier for a digital-first customer base located far from company-owned stores.
- **Short-Term:** enable Video KYC and Aadhaar e-KYC for postpaid enrollment, and waive the security deposit for customers with 12+ months of clean prepaid payment history.
- **Long-Term:** build a hybrid "postpaid-lite" product with prepaid-style instant top-up UX but postpaid billing, and expand doorstep KYC agent networks in tier-2/3 cities.

Final Note

Digitizing the KYC and enrollment journey end-to-end matches the frictionless UX prepaid customers already expect from the brand, addressing the actual bottleneck rather than further discounting an offer customers already find attractive.

Questions for Discussion

- Why is it important to measure drop-off at each funnel stage rather than just the overall conversion rate?
- What risks does waiving the security deposit based on prepaid payment history introduce, and how should they be managed?
- How might the postpaid-lite hybrid product cannibalize the client's existing prepaid or postpaid revenue?